

Tawuniya (Tadawul: 8010) — Insurance Economics

Why a 5% margin is a disaster in retail... and a great business in insurance: the secret of "float"

Case Background

The Company for Cooperative Insurance (Tawuniya) is Saudi Arabia's oldest and largest insurer, leading a market in exceptional growth driven by mandatory health insurance and economic expansion. Recall the Nice One case: a 4–7% margin was the start of a collapse. Tawuniya operates at a net margin of roughly 5.2% of insurance revenue — **yet ranks among the market's most successful companies. Why? Because an insurer does not profit from margin alone, but from "float": premium money sitting in its investment portfolio before claims are paid — invested for the company's benefit while it is still customers' money.**

The Numbers: Annual Growth (SAR mn)

Period	Insurance Revenue	Net Profit	Net Margin
2024	18,270	1,022	5.6%
2025	21,400 (+17.1%)	1,103 (+7.9%)	5.2%
Q1 2026	—	288.1 (+10.1%)	EPS 1.93

Anatomy of the Profit: Where Does It Really Come From? (2025)

Item	Value (SAR mn)	Change
Insurance service result (underwriting)	3,380	+19.1%
Net investment income — the fruit of "float"	764	+12.3%
Investment portfolio size	12,640	+9.3%
Net insurance finance expenses	-101.8	+44.5%
Net profit after zakat	1,103	+7.9%
Shareholders' equity	5,357	from 4,478

Read the equation: SAR 1,103 mn profit on SAR 5,357 mn equity $\approx$ 21% return on equity — from a 5% margin! The secret: a SAR 12.6 billion portfolio — mostly collected premiums not yet paid out as claims — working and invested for the company. This is the "float" on which Warren Buffett built the Berkshire empire. The one condition: **underwriting must stay disciplined** — lose on underwriting, and float becomes an expensive loan instead of a free gift.

Analysis Threads

- **Underwriting first:** insurance service result of SAR 3.38 bn (+19%) helped by an improved loss ratio — the company profits from the core business before investments, the most important health signal.
- **The exceptional-year trap:** the P&C incurred-claims ratio was only ~37% in 2024 versus a historical average near 60% — whoever prices or forecasts off an exceptional year wakes up to a shock when the ratio normalizes.
- **Vertical integration:** in November 2025 the company obtained a license to establish "Riyadh Re" for reinsurance — moving up the value chain keeps part of ceded premiums inside the group, but also means retaining more risk.
- **Capital structure:** in June 2026 the CMA approved a 50% capital increase via bonus shares — a confidence signal and a wider solvency base as premiums grow.
- **Rising cost line:** net insurance finance expenses jumped 44.5% on higher claims-related liabilities — a reminder that fast premium growth drags equally fast-growing obligations behind it.

Pre-meeting update: the company releases H1 2026 results on August 12, 2026 — refresh the numbers table before the September 4 meeting so the discussion runs on the latest data.

Council Discussion Questions

1. A 5% margin was an "alarm bell" at Nice One and a "great model" here — what determines when a thin margin is healthy? Tie the answer to the business model, not the number.
2. Split an insurer's profit into underwriting and investment: which should be the larger source, and why? What is the danger of a company that "loses on underwriting and compensates with investments"?
3. A 37% loss ratio in one year versus a 60% average — a new competitor prices off the good year to win share. Do you match them? What happens to them, and to you, two years later?
4. "Riyadh Re": what is the logic of an insurer founding its own reinsurer? Name two benefits and two risks.
5. Entrepreneurial projection: your venture collects annual subscriptions upfront (a club, a platform, maintenance contracts) — you hold a miniature "float". What rules govern its use without falling into the trap of spending money that is really a liability?

Key Lessons

1. **Margins are only readable inside a business model:** the same percentage can mean collapse in one sector and prosperity in another — compare a company to its sector and its profit sources, not to a bare number.
2. **Float is a conditional privilege:** customers' money works for you as long as underwriting is profitable — let pricing slip, and the privilege turns into a swelling debt.
3. **Never build on an exceptional year:** ratios revert to their mean — price and forecast over the full cycle, not its best point.

This case was prepared for purely educational purposes within the Marfa Council, based on the company's published financial statements, announcements, and economic media coverage (Argaam, Al Arabiya, Asharq Al-Awsat, Al Rajhi Capital). It is not an investment recommendation to

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